administration than about covert actions. The CIA too was interested in Bangladesh and its spies wrote several reports on the country. One such report said that to solidify his position, Ershad promoted an ambitious campaign to eradicate corruption in politics and business and many ministers were arrested for taking bribes and siphoning public funds. The Americans believed that Ershad's coup was a necessary evil although his hold on power was fragile and his survivability a big question.

American intelligence was always wary of an overwhelming penetration of Indian espionage apparatus in Bangladesh and this reflects in most intelligence analyses drafted by the CIA during those tumultuous days. A CIA report prepared after Ershad's coup said:

Most Bangladeshis are innately suspicious of Indian intentions and tend to view any problems in relations with New Delhi as a sign that India is attempting to undermine their government. Acknowledging that it would prefer to deal with an elected administration, the Indian government has little alternative but to work with the military leadership. Although, New Delhi would favour the emergence of a more accommodating government in Dhaka, it recognises that blatant Indian interference in Bangladesh's internal affairs could be counterproductive for India. India's tough position on bilateral disputes with Bangladesh reflects Prime Minister Indira Gandhi's long-standing attitude that India is the predominant

power in the subcontinent and that its neighbours must accommodate themselves to Indian interests. Ershad's administration has talked of not sacrificing national interests in dealing with outstanding bilateral problems between the two